

and by this means recoup their losses on PE investments. The ordinary asset owner doesn't have this luxury.

#### 8. Mispricing

Finally, perhaps investors pay too much for PE. There are too many LPs investing too much capital in too few PE firms. In the long run, investors may wise up and then PE prices will come down.

Some PE firms are making adjustments to a forecasted decline in business. Large buyout funds such as Blackstone, Carlyle, and KKR have diversified into hedge funds and advisory work that looks like investment banking. Magnanimously, some have even launched mutual funds, thereby enticing a new class of investors—moms and dads—to earn subpar risk-adjusted returns.<sup>52</sup>

### 4.6. KAUFFMAN FOUNDATION REPORT

The Ewing Marion Kauffman Foundation is dedicated to promoting entrepreneurship and education. It had an endowment of \$1.8 billion at the end of 2011, of which 45% was invested in PE. In 2012, the foundation issued a marvelous, introspective report, *We Have Met the Enemy . . . And He Is Us: Lessons from Twenty Years of the Kauffman Foundation's Investments in Venture Capital Funds and the Triumph of Hope over Experience*. The report, which is astonishing in its honesty given that the foundation is focused on entrepreneurship, lays out the organization's failures in VC investing. It found that Kauffman's average VC investment failed to return investor capital after fees.

The report stated that the primary reason the Kauffman endowment continued to pursue the VC dream was because "investors like us succumb time and again to narrative fallacies, a well-studied finance bias. . . . The historic narrative of VC investing is a compelling story filled with entrepreneurial heroes, spectacular returns, and life-changing companies." Hopes and dreams, indeed.

The Kauffman report advocated moving away from the IRR and multiple measures to relative performance measures, using small cap stocks. This is exactly the concept of the PME, extended to size risk factors. It is also the *factor investing* concept practiced by Canada Pension Plan Investment Board (CPPIB), the fund manager of the Canada Pension Plan (see chapter 14).<sup>53</sup> For CPPIB, PE is not an asset class, and it is benchmarked to what the pension fund can achieve at low cost in liquid stock and bond markets. There is no set allocation to PE for CPPIB, avoiding the need to top up PE investments when they are poor investments. CPPIB can switch seamlessly between public and PE.

<sup>52</sup> See Suich, A., 2012, "Barbarians in a State," in Franklin, D., ed., *The World in 2013*, Economist, London.

<sup>53</sup> See "Factor Investing: The Reference Portfolio and Canada Pension Plan Investment Board," Columbia CaseWorks #120302.